

Colossal Waste

MINISTRY OF FOOD PROCESSING INDUSTRIES

Staff: 296

Wages and allowances: Rs 7.91 crore

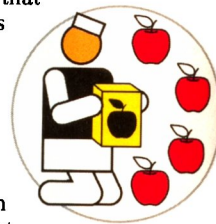
Total plan and non-plan expenditure: Rs 258.3 crore

RATIONALE: To develop a strong food processing sector, with a view to creating increased job opportunities in rural areas; enable farmers to reap benefits from modern technology and create surplus for exports.

REALITY CHECK: Nearly two decades after the formation of the ministry in 1988, just 2.2 per cent of the fruits and vegetables produced are processed. Produce worth Rs 58,000 crore—the income of two crore people—is wasted every year for want of processing facilities.

Nothing really validates the redundancy of the ministry better. It was only in 2005, that is, 17 years after the formation of the ministry, that the Government finally came out with an Act to oversee investments in the sector. But that too hasn't delivered the farmers from their wretched existence. When conceptualised, the ministry was supposed to empower the farm sector by enabling the farmer to get remunerative prices for his labour by allowing for warehousing, processing and marketing of produce. It is no secret that the ministry cannot deliver the goods on its own.

Fact is, everything or anything that the ministry may want to do is subject to the approval of three other ministries—Agriculture, Food and Health. Even after the passing of the Food Processing Act in 2005, the ministry is unable to attract investments because its policies cannot deliver in isolation. Sure the sector is open to investments, but that is not enough. Food processing the world over has taken off on the back of retail and the establishment of a logistics chain. Curiously, that critical function and its reform are vested with the Commerce Ministry. If food processing has to develop and if farmers are to get their due, it is imperative that the Government gets its act together on incentivising investments in logistics and freeing retail. It doesn't need a Food Processing Ministry.



BIGGER BY THE DECADE

Over the years, the size of the council of ministers has only grown, from

